

XBRA — Explainable Behavioral Risk Attribution

Investor: INV_DISPOSITION_039

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1. Executive Summary

Analysis of INV_DISPOSITION_039's trading history reveals a dominant behavioural pattern of **Disposition**. Behavioural factors explain **100%** of the portfolio's maximum drawdown of **-7.5%**. This report provides a detailed breakdown of detected biases, market context, and actionable recommendations.

2. Investor Risk Profile

Metric	Value
Dominant Bias	Disposition
Strategy Archetype	Buy Hold Drifter
Max Drawdown	-7.5%
Sharpe Ratio	1.14
Sortino Ratio	0.94
Peer Risk Percentile	90th
Behavioural Risk %	100%

3. Charts

4. Behavioral Bias Deep-Dives

Loss Aversion

Pattern: The holding-time asymmetry metric shows that investors tend to hold onto losing trades for longer periods than winning trades, with a median of 1.0 days, but the population median is 10.0 days, indicating a significant bias towards holding onto losses.

Evidence: The evidence trades that support this pattern are BABA (120d, P&L; -2592), AMD (120d, P&L; -2258), DIS (120d, P&L; -1273), AMZN (103d, P&L; -237), and UNH (100d, P&L; -737).

Consequence: This bias towards holding onto losses contributes to a 30% risk contribution to the total portfolio drawdown, meaning that investors are losing 30% of their portfolio value due to their tendency to hold onto losing trades.

Herding

Pattern: The high momentum follow rate of 0.8302 indicates that most investors are following the crowd, as 83.02% of the population median of 0.64145 is above average. This suggests that investors are more likely to buy or hold a stock when others are doing the same.

Evidence: The trades that show evidence of herding behavior are: JNJ (entry 2020-01-02 → exit 2020-01-14), NFLX (entry 2020-01-24 → exit 2020-02-03), MSFT (entry 2020-02-10 → exit 2020-05-19), DIS (entry 2020-05-26 → exit 2020-06-05), and BABA (entry 2020-06-15 → exit 2020-06-23).

Consequence: The trades contribute to a 16% risk contribution to the total portfolio drawdown, meaning that 16% of the overall loss or gain in the portfolio can be attributed to these trades.

Disposition

Pattern: The Early Exit Winner Rate metric shows that the investor tends to exit their trades early, with a success rate of 0.4318, which is slightly above the population median of 0.4318. This suggests that the investor often sells their winning trades before they reach their full potential.

Evidence: The investor made the following trades: TSLA (entry 2024-11-04, exit 2024-11-05, holding days 1, P&L; +327), AMD (entry 2024-05-23, exit 2024-05-24, holding days 1, P&L; +196), NVDA (entry 2020-06-29, exit 2020-06-30, holding days 1, P&L; +413), HD (entry 2024-07-10, exit 2024-07-12, holding days 2, P&L; +442), and AMD (entry 2020-11-02, exit 2020-11-04, holding days 2, P&L; +612).

Consequence: The investor's early exit strategy contributed to a total portfolio drawdown of 54%.

5. Trade Evidence

Trade ID	Symbol	Entry	Exit	Days	P&L
INV_DISPOSIT	BABA	2021-11-17	2022-03-17	120	-2592
INV_DISPOSIT	AMD	2022-08-10	2022-12-08	120	-2258
INV_DISPOSIT	BABA	2024-11-11	2024-12-31	50	-1298
INV_DISPOSIT	DIS	2023-06-09	2023-10-07	120	-1273
INV_DISPOSIT	AMD	2020-07-24	2020-07-29	5	1164
INV_DISPOSIT	TSLA	2020-07-10	2020-07-20	10	951
INV_DISPOSIT	PFE	2021-08-20	2021-10-27	68	-914
INV_DISPOSIT	TSLA	2020-12-14	2020-12-19	5	846
INV_DISPOSIT	NVDA	2024-05-28	2024-06-05	8	844
INV_DISPOSIT	UNH	2023-12-07	2024-03-16	100	-737

6. Recommendations

Based on the investor's behavioral analysis, here are 4 actionable recommendations for retail investors:

1. Be prepared to sell your investments if they underperform, rather than holding on to them in hopes of a rebound, to avoid the pain of a potential loss.
2. Diversify your portfolio by investing in a mix of low-cost index funds and individual stocks, rather than following the crowd and investing in popular but potentially overvalued stocks.
3. Set a regular review schedule to reassess your investment portfolio, rather than relying on emotions or market trends, to ensure it remains aligned with your long-term goals.
4. Prioritize quality over quantity when selecting investments, focusing on companies with strong fundamentals and a proven track record, rather than chasing high-growth stocks that may not deliver sustainable returns.